

**RESOLUTION OF THE BOARD OF DIRECTORS
OF THE ASSOCIATION OF APARTMENT OWNERS OF
NA HALE O MAKENA**

**AUTHORIZATION OF TEMPORARY LOAN FROM RESERVE FUNDS
FOR PAYMENT OF 2026 INSURANCE PREMIUMS**

WHEREAS, the Association of Apartment Owners of Na Hale O Makena ("Association") is responsible for maintaining property and liability insurance coverage required under the Declaration, By-Laws, and applicable Hawaii law; and

WHEREAS, the Board of Directors has determined that the 2026 insurance renewal premiums may require temporary use of reserve funds in order to ensure uninterrupted insurance coverage for the Project; and

WHEREAS, the Board has reviewed the Association's current reserve balances and has determined that a temporary internal loan from reserve funds, in an amount not to exceed One Hundred Thousand Dollars (\$100,000.00), is in the best interests of the Association and will not materially impair the Association's reserve obligations; and

WHEREAS, the Board intends that any such reserve borrowing be temporary in nature and fully repaid to the reserve account no later than May 31, 2027;

NOW, THEREFORE, BE IT RESOLVED THAT:

The Board of Directors hereby authorizes a temporary internal loan from the Association's reserve funds to the Association's operating account in an amount not to exceed \$100,000.00 for the sole purpose of funding the 2026 insurance renewal premiums and related insurance expenses as necessary.

Any funds borrowed from reserves pursuant to this Resolution shall be repaid in full to the reserve account no later than May 31, 2027.

The Treasurer, President, Managing Agent, and such other officers or agents of the Association as may be necessary are authorized to take all administrative actions necessary to implement this Resolution.

The Board shall document all transfers and repayments associated with this temporary reserve borrowing in the Association's financial records.

This Resolution shall take effect immediately upon adoption.

ADOPTED by the Board of Directors of the Association of Apartment Owners of Na Hale O Makena on May 15, 2026.